Published: October 14, 2026

Preformed Line Products (PLPC): Hold

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An exceptional grid-hardware franchise at a fair price. At $397, PLPC trades within 4% of our $414 base-case DCF. The moat is real, but the margin of safety is thin.

Hold	$414	$397.25	+4%
RATING	BASE TARGET (BLENDED $420)	SPOT (OCT 9, 2026)	UPSIDE TO BASE

$282 / $570	8.3%	$212.7M	71% / 22%	$33M	0.91
BEAR / BULL TARGETS	LIVE WACC	Q2 REVENUE (+25%)	ENERGY / COMM MIX	NET CASH	EQUITY BETA

Executive summary

We initiate coverage of Preformed Line Products with a **Hold** and a $414 base-case target (blended $420). PLPC is a critical, underfollowed hardware winner in grid modernization and telecom buildout, engineering cable anchoring devices, conductor hardware, and fiber splice closures. Q2 2026 revenue surged 25% to $212.7M with EPS up 75% to $4.51, and gross margins held in the 30-33% band.

The moat is genuine: utility specification lock-in, the only full-line formed-wire helical product suite globally, and in-house manufacturing equipment. Our five-year DCF (4% / 10% / 15% revenue CAGRs, FCF margins normalizing to 9% / 11% / 13%) yields Bear $282, Base $414, Bull $570 at an 8.3% live WACC. Spot at $397 sits 4% below base. We would be buyers on a pullback toward $320-350.

> **Our read:** this is a wonderful business at a full price. The 47x trailing P/E prices in near-perfection, and our reverse DCF shows the market implies 6.6% revenue growth, between our bear and base cases. The grid super-cycle could justify the bull case, but we need a cheaper entry to get paid for the cyclical risk in telecom.

Base-case assumptions

INPUT	BEAR	BASE	BULL
5-yr revenue CAGR (FY26-30)	4%	10%	15%
2030 revenue ($M)	995	1,368	1,709
2030 FCF margin	9%	11%	13%
Terminal growth	2.5%	2.5%	2.5%
Target per share	**$282**	**$414**	**$570**

WACC 8.3% live (spot 10Y 5.24% + 0.91 beta x 3.37% implied ERP). Gordon terminal. Net cash $33.4M; 4.89M shares.

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Price targets are dynamic and adjust with live Treasury yields, the equity risk premium, and beta.
The valuation website always reflects the most current targets.

Bull case: $570 GRID SUPER-CYCLE

A sustained grid modernization super-cycle plus fiber broadband subsidies drive 15% revenue growth to $1.7B by 2030, with FCF margins expanding to 13% as the capex super-cycle winds down. Worth $570, 43% above spot.

Bear case: $282 TELECOM DOWNTURN

Communications spending cycles down sharply and infrastructure budgets tighten. Revenue grows at 4% to just under $1.0B, FCF margins stall at 9%. Worth $282, 29% below spot.

Verdict

> **We rate PLPC Hold.** The business quality is excellent, but at $397 the stock offers only 4% upside to our base case against 29% downside to the bear case. That is not a favorable skew. We would initiate on a pullback to $320-350, where the base case offers 20%+ upside.

What would change our mind

- **Price:** a 15-20% pullback to $320-350 would flip the skew decisively in our favor.
- **Grid acceleration:** federal grid funding or utility capex plans running above current trajectories would lift the bull case.
- **Margin expansion:** FCF margins reaching 11% ahead of schedule would validate the bull trajectory.

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Key themes

1. Specification lock-in is a genuine moat STABLE

Utility engineering standards mandate PLPC products, and risk-averse utilities rarely switch proven hardware. This creates extreme customer stickiness and pricing power on engineered products.

2. Grid modernization is a multi-decade tailwind ACCELERATING

Aging grids, renewable integration, and data-center load growth drive 5-6% CAGR in PLPC's core energy niche. PLPC captures the lion's share of transmission upgrade hardware.

3. Telecom is the cyclical swing factor DECELERATING

Communications (22% of revenue) grows at 7-9% but is subject to carrier capex cycles. The energy-to-communications backlog mix is the key leading indicator to watch.

4. Capex normalization should unlock FCF STABLE

Current FCF margins of 5-7% are depressed by a $10M/quarter capex super-cycle and working capital bloat. As facilities spending normalizes, margins should migrate toward the 11% mature proxy.

Other KPIs

METRIC	VALUE
Market cap (at $397.25)	$1.94B
Enterprise value	$1.91B
Q2 2026 revenue / YoY	$212.7M / +25%
Q2 EPS / YoY	$4.51 / +75%
Gross margin band	30-33%
Net cash	$33.4M

Guidance

Q3 2026 results are due around November 4. Watch the energy/communications backlog mix, gross-margin stability through raw-material pass-through, and any update on the capex normalization timeline.

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Reverse DCF: what the market is pricing in

At $397.25, PLPC carries a $1.94B market cap and a $1.91B enterprise value. The market-implied five-year revenue CAGR is **about 6.6%**, between our bear case (4%) and base case (10%).

SCENARIO	5-YR REVENUE CAGR	TARGET
Market-implied	~6.6%	$397.25 (spot)
Bull case	15%	**$570**
Base case	10%	**$414**
Bear case	4%	**$282**

The market is pricing in a moderate outcome, which is reasonable given the telecom cyclicality. The bull case requires the grid super-cycle to run hot for five straight years, which we view as possible but not yet probable enough to pay for today.

Model

https://docs.google.com/spreadsheets/d/1IwJym_VUyfXsoC4b5OLGatXUJLEveIgIBvtUvqxKM4k/edit?usp=drivesdk

Risks to our Hold

- Telecom capex downturn deeper than modeled would push toward the bear case.
- Raw-material inflation outpacing surcharge pass-through would compress gross margins.
- Grid super-cycle acceleration or a strategic takeover could justify the bull case quickly.

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